A world run on Chinese AI models and US chips

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The US leads at the frontier and in commercial development, but AI competition consists of four distinct races, and China can gain in industry and in exporting its models without taking the lead at the frontier.
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A shortage of advanced computing power is China’s main constraint, forcing providers to ration Chinese AI services, while offshore access and US policy will determine how tight that constraint remains.
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The basecase by 2028 (55%) is that most of the world runs on Chinese models using US chips and cloud services, but many of the highest-value applications remain on US models, while the main alternative scenario (30%) is a runaway US lead driven by AI-accelerated research.

Washington and Beijing both see AI as critical to the future, but there is no single AI race. US labs hold the frontier and earn most of the revenue, while Chinese labs release their best models openly and are winning developers abroad. China is also pushing AI into factories, robots, and vehicles, where its manufacturing base gives it an edge. Which country leads depends on the race: frontier capability, diffusion, commercial returns, or strategic leverage.

China’s binding constraint is compute. Shortages are already forcing Chinese providers to ration AI services, and US export controls, offshore access to US chips, and Beijing’s own push for self-reliance will determine how tight that constraint stays. Meanwhile, doubts about both superpowers are pushing governments and companies toward models they can run themselves, which favors cheap Chinese open models even as US developers try to catch up.

Our basecase is that by 2028 most of the world will run on Chinese models using US chips and clouds. That split will squeeze US labs’ pricing power, which matters for investors in a buildout financed heavily by debt, and add friction to US-China relations without dividing the world into clean blocs. The biggest uncertainty is whether AI-accelerated research lets US labs pull decisively ahead.

The full report assesses each race, maps where the US and China hold leverage across the AI stack, compares the cost of US and Chinese models, and sets out four scenarios by 2028.

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